

UNIT–3: Sales Management

1. Explain the Types of Selling and the Difference between Selling and Marketing.

Introduction

Sales Management is the process of planning, organizing, directing, and controlling sales activities to achieve the sales objectives of an organization. Selling is an important function of sales management as it helps businesses communicate with customers, understand their needs, and persuade them to buy products or services.

Marketing is a broader concept that includes identifying customer needs, developing products, pricing, promotion, and distribution. Although selling and marketing are closely related, they differ in their objectives and activities.

Types of Selling

1. Personal Selling

Meaning

Personal selling is a method in which a **salesperson directly communicates with customers** to explain product features and convince them to purchase.

Advantages

- Two-way communication.
- Builds customer relationships.
- Immediate feedback.
- Suitable for costly and technical products.

Example: A car showroom executive explaining car features.

2. Retail Selling

Meaning

Retail selling is the sale of products **directly to final consumers** through retail stores, supermarkets, shopping malls, or local shops.

Advantages

- Convenient for customers.
- Wide variety of products.
- Immediate purchase.

Example: Buying groceries from D-Mart or Reliance Smart.

3. Wholesale Selling

Meaning

Wholesale selling involves selling products in **large quantities** to retailers, distributors, or other businesses.

Advantages

- Large volume of sales.
- Lower distribution costs.
- Supports retail business.

Example: A wholesaler supplying biscuits to supermarkets.

4. Industrial Selling

Meaning

Industrial selling refers to selling **machinery, equipment, raw materials, and industrial goods** to manufacturing companies and industries.

Advantages

- High-value transactions.
- Long-term business relationships.
- Customized selling.

Example: Tata Steel supplying steel to automobile manufacturers.

5. Direct Selling

Meaning

Direct selling is the sale of products **directly to customers without intermediaries**.

It may be done through:

- Home demonstrations
- Company representatives
- Social media
- Online platforms

Advantages

- Personal communication.
- Better customer relationships.
- Higher profit for the company.

Example: Tupperware products sold directly to customers.

6. Online Selling

Meaning

Online selling involves selling products through:

- Websites
- Mobile apps
- E-commerce platforms

Customers can shop anytime and from anywhere.

Advantages

- 24/7 availability.
- Global market reach.
- Easy ordering and payment.

Example: Amazon and Flipkart.

Difference Between Selling and Marketing

Selling	Marketing
Selling focuses on selling products.	Marketing focuses on satisfying customer needs.
Main objective is to increase sales.	Main objective is customer satisfaction and long-term profit.
Selling starts after the product is produced.	Marketing starts before the product is developed.
Selling is product-oriented.	Marketing is customer-oriented.
Selling has a short-term focus.	Marketing has a long-term focus.
Selling mainly uses personal selling techniques.	Marketing includes Product, Price, Place, and Promotion (4Ps).

Importance of Selling (*Extra Point*)

- Generates revenue.
 - Builds customer relationships.
 - Increases sales.
 - Provides customer feedback.
 - Supports business growth.
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Conclusion

Selling and marketing are both essential for business success. Selling focuses on converting products into sales, while marketing focuses on identifying customer needs and creating customer value. Different types of selling help businesses reach different markets, improve customer satisfaction, and achieve long-term organizational success.

2. Explain about:

(a) Sales Activities

(b) Selling Skills

(c) Selling Strategies

Introduction

Sales Management is the process of planning, organizing, directing, and controlling sales activities to achieve organizational goals. Successful selling depends on **sales activities**, **selling skills**, and **selling strategies**. These three elements help businesses attract customers, increase sales, build customer satisfaction, and develop long-term business relationships.

(A) Sales Activities

Meaning

Sales Activities are the various tasks performed by a salesperson to identify customers, present products, close sales, and maintain customer relationships.

1. Prospecting

Prospecting is the process of identifying and finding **potential customers (prospects)** who may be interested in buying the company's products or services.

Example: A salesperson collects contact details of people interested in buying a new car.

2. Approaching Customers

The salesperson contacts customers, introduces the company and products, and creates a positive first impression.

A good approach increases the chances of making a successful sale.

3. Product Presentation

The salesperson explains the product's:

- Features
- Advantages
- Benefits

according to the customer's needs.

Example: A mobile store executive explains a phone's camera, battery, and processor.

4. Handling Objections

Customers may have doubts regarding:

- Price
- Quality
- Warranty
- Features

The salesperson should answer these questions confidently and remove customer concerns.

5. Closing the Sale

After convincing the customer, the salesperson encourages them to make the purchase and complete the transaction.

6. Follow-up

The salesperson contacts customers after the sale to ensure satisfaction, solve problems, and encourage repeat purchases.

Follow-up helps build customer loyalty.

(B) Selling Skills

Meaning

Selling Skills are the abilities that help a salesperson communicate effectively, understand customer needs, and successfully sell products or services.

1. Communication Skill

A salesperson should communicate clearly, politely, and confidently with customers.

2. Product Knowledge

Complete knowledge about the product helps answer customer questions and build customer confidence.

3. Listening Skill

A good salesperson listens carefully to customer needs before recommending a product.

4. Negotiation Skill

Negotiation helps both the customer and the company reach a mutually beneficial agreement on price or terms.

5. Problem-Solving Skill

The salesperson should quickly resolve customer complaints and provide suitable solutions.

6. Confidence

A confident salesperson creates trust and increases the chances of successful sales.

(C) Selling Strategies

Meaning

Selling Strategies are planned methods used by businesses to attract customers, satisfy their needs, and increase sales.

1. Customer-Oriented Selling

The salesperson focuses on understanding customer needs and providing suitable solutions instead of simply selling products.

2. Relationship Selling

The objective is to build long-term customer relationships rather than making only one-time sales.

3. Value-Based Selling

The salesperson explains how the product provides value, solves problems, and benefits the customer.

4. Consultative Selling

The salesperson acts as an advisor by understanding customer requirements and recommending the most suitable product.

5. Digital Selling

Companies use digital platforms such as:

- Websites
- Social media
- Mobile apps
- E-commerce platforms

to reach customers and increase sales.

Importance of Sales Activities, Skills, and Strategies (*Extra Point*)

- Improves customer satisfaction.
 - Increases sales and profits.
 - Builds customer loyalty.
 - Enhances company reputation.
 - Supports long-term business growth.
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Conclusion

Sales activities, selling skills, and selling strategies are the foundation of successful sales management. Effective sales activities help identify and serve customers, selling skills improve communication and persuasion, while selling strategies ensure customer satisfaction and long-term relationships. Together, they help businesses achieve higher sales, stronger customer loyalty, and sustainable growth.

3. Explain the Steps Involved in the Recruitment and Selection of an Effective Sales Force.

Introduction

A **sales force** is a team of salespeople who represent the company, interact with customers, and generate sales revenue. The success of a business depends largely on the quality of its sales force. Therefore, organizations should carefully recruit and select qualified and skilled salespersons.

Recruitment is the process of attracting suitable candidates for a job, while **Selection** is the process of choosing the most suitable candidate from among the applicants. A systematic recruitment and selection process helps organizations build an efficient sales team, improve customer satisfaction, and achieve business objectives.

Steps in Recruitment and Selection of an Effective Sales Force

1. Manpower Planning

The company first determines **how many salespeople are required** based on business goals, market demand, and sales targets.

Example: If a company expands into a new city, it may need to recruit additional sales executives.

2. Job Analysis

The organization identifies the **duties, responsibilities, qualifications, skills, and experience** required for the sales position.

This helps prepare the **Job Description (what the job involves)** and **Job Specification (what qualifications the candidate needs)**.

3. Recruitment

The company invites applications from suitable candidates through different sources such as:

- Newspaper advertisements
- Job portals
- Campus recruitment
- Employee referrals
- Recruitment agencies

The objective is to attract a large number of qualified applicants.

4. Screening of Applications

The company carefully examines all applications and removes candidates who do not meet the required qualifications and experience.

This saves time in the later stages of selection.

5. Written Test

Some companies conduct written tests to assess candidates' abilities, such as:

- Aptitude
- Communication skills
- Product knowledge
- Reasoning ability

This helps identify capable candidates.

6. Personal Interview

Shortlisted candidates attend a personal interview where the company evaluates:

- Communication skills
- Confidence
- Personality
- Selling ability
- Problem-solving skills

The interview helps assess whether the candidate is suitable for a sales role.

7. Reference and Background Verification

The company verifies the candidate's:

- Educational qualifications
- Previous work experience
- Character and conduct

This ensures that the information provided by the candidate is accurate and reliable.

8. Medical Examination

Selected candidates may undergo a medical examination to confirm that they are physically and medically fit for the job.

This is especially important if the job involves frequent travel.

9. Final Selection

After completing all evaluation stages, the company selects the **most suitable candidates** based on their overall performance.

The selected candidates receive an appointment letter.

10. Training and Placement

Before starting work, newly selected salespeople receive training on:

- Company policies
- Product knowledge
- Selling techniques
- Customer handling
- Company procedures

After training, they are assigned to their respective sales territories or work locations.

Importance of an Effective Sales Force

1. Improves Sales Performance

Well-trained salespeople increase sales and help the company achieve higher profits.

2. Builds Customer Relationships

Professional salespeople develop trust and maintain long-term customer relationships.

3. Enhances Company Image

Polite, knowledgeable, and professional salespeople improve the company's reputation.

4. Achieves Business Goals

An effective sales force helps the organization achieve its sales targets and overall business objectives.

5. Increases Customer Satisfaction (*Extra Point*)

Skilled salespeople understand customer needs and provide better service, leading to higher customer satisfaction.

Conclusion

Recruitment and selection of an effective sales force are essential functions of sales management. By following a systematic recruitment and selection process, organizations can appoint qualified and skilled salespeople who improve customer satisfaction, increase sales, strengthen the company's image, and contribute to long-term business success.

UNIT–3: Sales Management – Short Answers

1. What are Sales Forecasting Methods?

Answer:

Sales forecasting methods are techniques used to estimate future sales based on past performance and market conditions. Common methods include **Sales Force Opinion, Market Survey, Trend Analysis, Expert Opinion, and Historical Sales Data.**

2. Explain the Sales Budgeting Process.

Answer:

The **Sales Budgeting Process** is the preparation of an estimated budget for sales activities based on sales forecasts. It helps organizations plan sales expenses, allocate resources efficiently, and achieve sales targets.

3. Discuss the Key Components of an Effective Sales Training Program.

Answer:

An effective sales training program includes **product knowledge, communication skills, selling techniques, customer handling, negotiation skills, and practical training**. It helps salespeople improve their performance, customer service, and sales effectiveness.

4. Discuss the Different Compensation Plans Available for Salespeople.

Answer:

The major compensation plans for salespeople are **Salary Plan, Commission Plan, Salary plus Commission Plan, and Bonus or Incentive Plan**. These plans motivate salespeople, improve performance, and encourage higher sales.